

value of gains and losses as a function; the shape and attractiveness of gambles; the use of purchase price as a reference point; narrow framing; tendencies related to repeated gambles and risk policies; and the adoption of short versus long views. Living with the consequences of decisions gives rise to regrets of omission and commission, and also has implications regarding the relationship between regret and risk taking.¹⁶

One of the reasons that this paper is so important from the practical application perspective is that it was the first scholarly work to really challenge financial advisors to examine their practice from a behavioral standpoint. Moreover, the authors encapsulate their challenge in the form of a detailed “Checklist for Financial Advisors.”

PSYCHOGRAPHIC MODELS USED IN BEHAVIORAL FINANCE

Psychographic models are designed to classify individuals according to certain characteristics, tendencies, or behaviors. Psychographic classifications are particularly relevant with regard to individual strategy and risk tolerance. An investor’s background and past experiences can play a significant role in decisions made during the asset allocation process. If investors fitting specific psychographic profiles are more likely to exhibit specific investor biases, then practitioners can attempt to recognize the relevant telltale behavioral tendencies before investment decisions are made. Hopefully, resulting considerations would yield better investment outcomes.

Two studies—Barnewall (1987) and Bailard, Biehl, and Kaiser (1986)—apply useful models of investor psychographics.

Barnewall Two-Way Model

One of the oldest and most prevalent psychographic investor models, based on the work of Marilyn MacGruder Barnewall, was intended to help investment advisors interface with clients. Barnewall distinguished between two relatively simple investor types: passive investors and active investors. Barnewall noted:

“Passive investors” are defined as those investors who have become wealthy passively—for example, by inheritance or by risking the capital of others rather than risking their own capital. Passive investors have a greater need for security than they have tolerance for risk. Occupational groups that tend to have passive investors